

Personal Loan Calculator

Canada · CAD

Personal Financial Scenario Report

fincalcsmart.com/personal-loan-calculator

EXECUTIVE SUMMARY

Healthy

CA\$473.51

Monthly Payment

CA\$2,046

Total Interest

CA\$17,046

Total Cost

67/100

Borrowing Cost Score

Good

LOAN COST BREAKDOWN



Total projected: CA\$17,046

Principal: CA\$15,000 (88.0%) Total Interest: CA\$2,046 (12.0%)

AI-ASSISTED PERSONAL LOAN SUMMARY

This personal loan of CA\$15,000 at 8.5% annual rate over a 3-year term results in a monthly payment of CA\$473.51. Over 36 payments, the total cost is CA\$17,046, of which CA\$2,046 (13.6% of principal) is interest. Borrowing Cost Score: 67/100 (Good).

Prime-based personal loans in Canada typically range 8–20% APR. Your rate of 8.5% is competitive — borrowing cost is manageable for a well-qualified borrower. Interest accounts for CA\$2,046 (13.6% of the amount financed) over the full term, equivalent to CA\$136.43 per CA\$1,000 borrowed. The monthly payment represents 8.7% of gross monthly income — well within the 15% comfort guideline.

Choosing a 2-year term instead of the current 3-year term would save CA\$682 in total interest at a cost of CA\$208.32 more per month. If your budget allows the higher payment, shortening the term is the fastest path to reducing total borrowing cost.

INPUTS & ASSUMPTIONS

Loan Amount	CA\$15,000
Annual Interest Rate	8.5%
Loan Term	3 years
Annual Income (approx.)	CA\$65,000
Compounding	Monthly

DETAILED RESULTS

Monthly Payment	CA\$473.51
Total Interest	CA\$2,046
Total Cost of Loan	CA\$17,046
Interest / Principal	13.6%
Borrowing Cost Score	67/100 (Good)
Cost per CA\$1,000 Borrowed	CA\$136.43
Payment as % of Income	8.7%

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Compare rates: your total interest of CA\$2,046 is sensitive to rate — even a 1% reduction at CA\$15,000 saves meaningful dollars over the full term.
- Shorter term: moving to a 2-year term saves CA\$682 in interest — worth evaluating if CA\$208.32/month more is affordable.
- Affordability: at 8.7% of gross monthly income, this payment is within the 15% comfort guideline.
- Prepayment: making extra principal payments early in the term reduces the balance that accrues interest and can meaningfully lower total cost — check your lender terms for prepayment penalties.

METHODOLOGY

What this calculator models:

- Calculates the fixed monthly payment using standard amortization: $P \times r / (1 - (1+r)^{-n})$, where r = annual rate / 12 / 100 and n = term months.
- Computes total interest as (monthly payment x n) - principal.
- Calculates interest/principal ratio as total interest divided by the loan amount.
- Derives Borrowing Cost Score from annual rate and interest ratio components (0–100 scale).
- Calculates DTI as monthly payment divided by gross monthly income (annual income / 12).

What this calculator does not model:

- Origination fees, prepayment penalties, or other lender charges.
- Variable or promotional interest rates.
- Credit score impact on loan approval or rate.
- Taxes on loan proceeds (where applicable).
- Changes in income or financial circumstances over the loan term.

EDUCATIONAL DISCLAIMER

This report is for illustrative and informational purposes only. Results assume a fixed interest rate and standard monthly amortization. Actual loan terms, approval, rate, and fees are determined by your lender and credit profile. This does not constitute financial, tax, or legal advice. Consult a licensed financial advisor before making borrowing decisions.